EQUITY RESEARCH · INITIATION OF COVERAGE

NIKE, Inc.

NKE · Rubber & Plastics Footwear · benchmarked against LULU, DECK, CROX, UAA, VFC, COLM

RATING	PRICE TARGET	CURRENT PRICE	IMPLIED RETURN
HOLD	$37.23	$39.37	-5.4%

Abhishek Raut · 2026-11-02

Built from SEC EDGAR filings and public market data with Ticker-to-Thesis. Not investment advice.

INVESTMENT SUMMARY

HOLD: $37.23 price target implies 5% downside

RATING

HOLD

PRICE TARGET

$37.23

IMPLIED RETURN

-5.4%

Investment thesis

- The turnaround is already in the price: at ~$34, the market discounts EBIT margins rebuilding to ~11% by FY31. That is our base case too, so we see fair value, not a bargain.
- FY27 is a reset year: management guides revenue down high-single digits and adj. EPS of $1.15-1.35. We model -8% revenue and a ~5% EBIT margin.
- Self-help is real but back-end loaded: ~$2.5bn of Pace savings by FY31, inventory down 3% y/y and gross margin up 60bp in Q1 support the rebuild; China (-22% in Q1) is the swing factor.

Valuation: Price target $37.23 vs $39.37 current: -5.4% implied return → HOLD. DCF (perpetuity growth 2.5%, WACC 9.0%): $36.72 per share; exit-multiple method (11.3x EBITDA): $40.53.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

COMPANY SNAPSHOT

NIKE: $46.4bn revenue, +0.2% growth and a 8.2% EBIT margin in FY2026

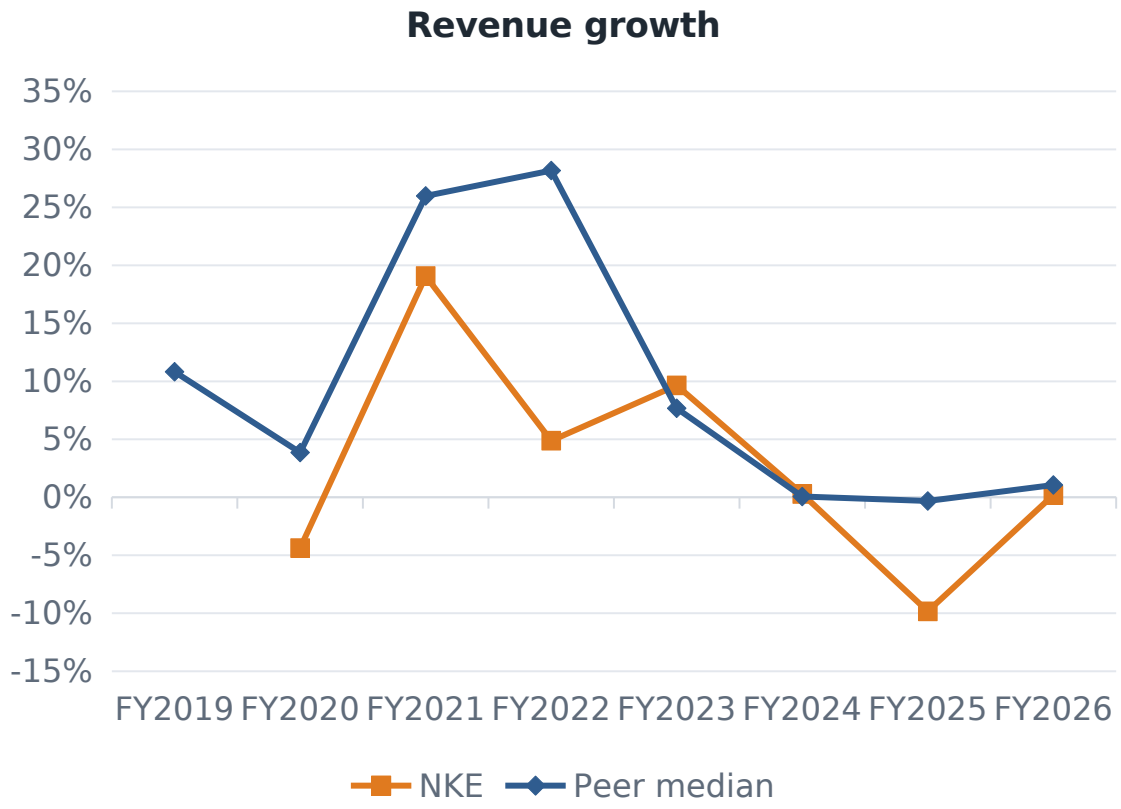
$m	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	-9.8%	0.2%
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT	6,675	5,915	6,311	3,702	3,797
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	6,046	5,070	5,700	3,219	3,108
Free cash flow	4,430	4,872	6,617	3,268	2,184
ROIC	59.4%	40.3%	44.7%	25.8%	23.4%
Net debt / EBITDA	-0.5x	-0.3x	-0.4x	-0.3x	-0.2x

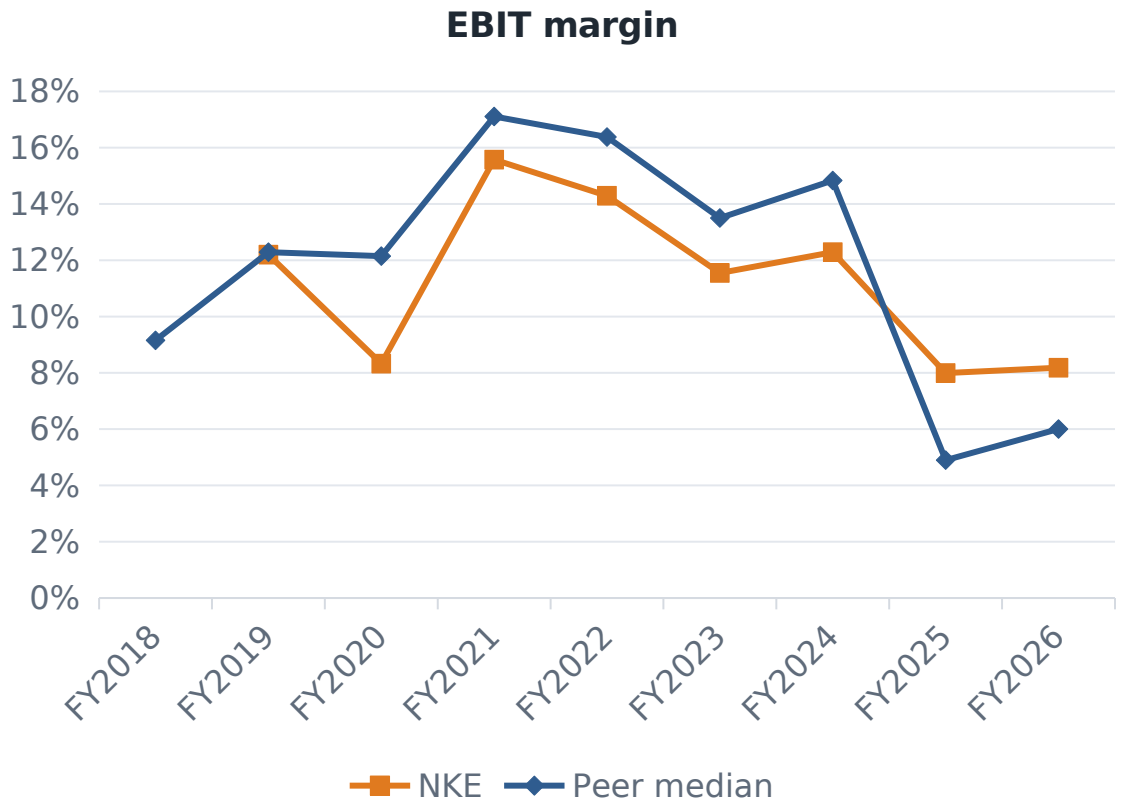
Market cap	**$58.4bn**
Enterprise value	**$58.0bn**
Net debt / (cash)	**($475m)**
EV / EBITDA	**12.8x**
P / E	**18.8x**
52-week range	**$33.87 – $67.78**
Fiscal year end	**05/31**
Industry (SIC)	**3021 Rubber & Plastics Footwear**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

FINANCIAL PERFORMANCE VS PEERS

EBIT margin is 2.1pp above the peer median; 3-year revenue CAGR -3.2% vs +1.9% for peers





Profitability: EBIT margin of 8.2% ranks at the 64th percentile of the group (peer median 6.0%). Over three years it moved -3.4pp while the peer median moved -7.5pp.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

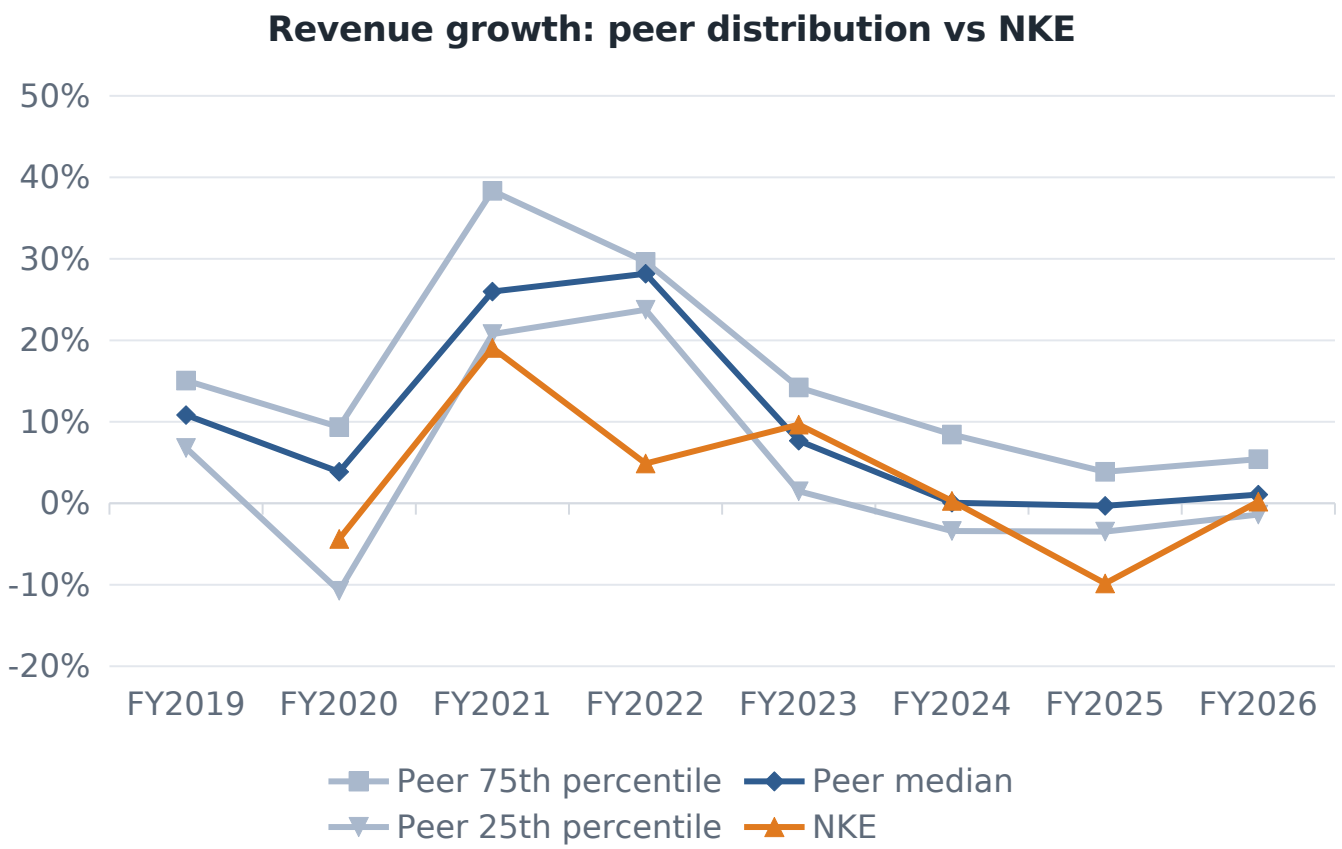
PEER BENCHMARKING

Benchmark scorecard: NKE trails the peer median on 6 of 11 metrics and leads on 5

Metric	NKE	Peer median	Peer range (Q1–Q3)	Percentile	Verdict
Revenue growth	0.2%	1.0%	-0.9% – 3.9%	36	Worse
Revenue CAGR (3y)	-3.2%	1.9%	-3.7% – 9.4%	36	Worse
Gross margin	42.9%	55.7%	51.6% – 57.4%	7	Worse
EBIT margin	8.2%	6.0%	4.3% – 16.5%	64	Better
ROIC	23.4%	13.0%	4.3% – 46.8%	64	Better
FCF margin	4.7%	7.3%	5.9% – 14.3%	21	Worse
FCF conversion (FCF / net income)	70.3%	114.7%	95.0% – 146.3%	30	Worse
Net debt / EBITDA	-0.2x	-0.7x	-1.4x – 3.2x	42	Worse
Interest coverage (EBIT / interest)	11.8x	3.5x	1.7x – 499.2x	58	Better
Inventory days	103 days	119 days	89 days – 127 days	64	Better
Cash conversion cycle	100 days	109 days	100 days – 110 days	58	Better

Percentile: rank within the peer group, oriented so 100 = best (e.g. lower leverage scores higher). Latest fiscal year.

Industry backdrop: peer revenue growth averaged +0.3% a year and margins are contracting



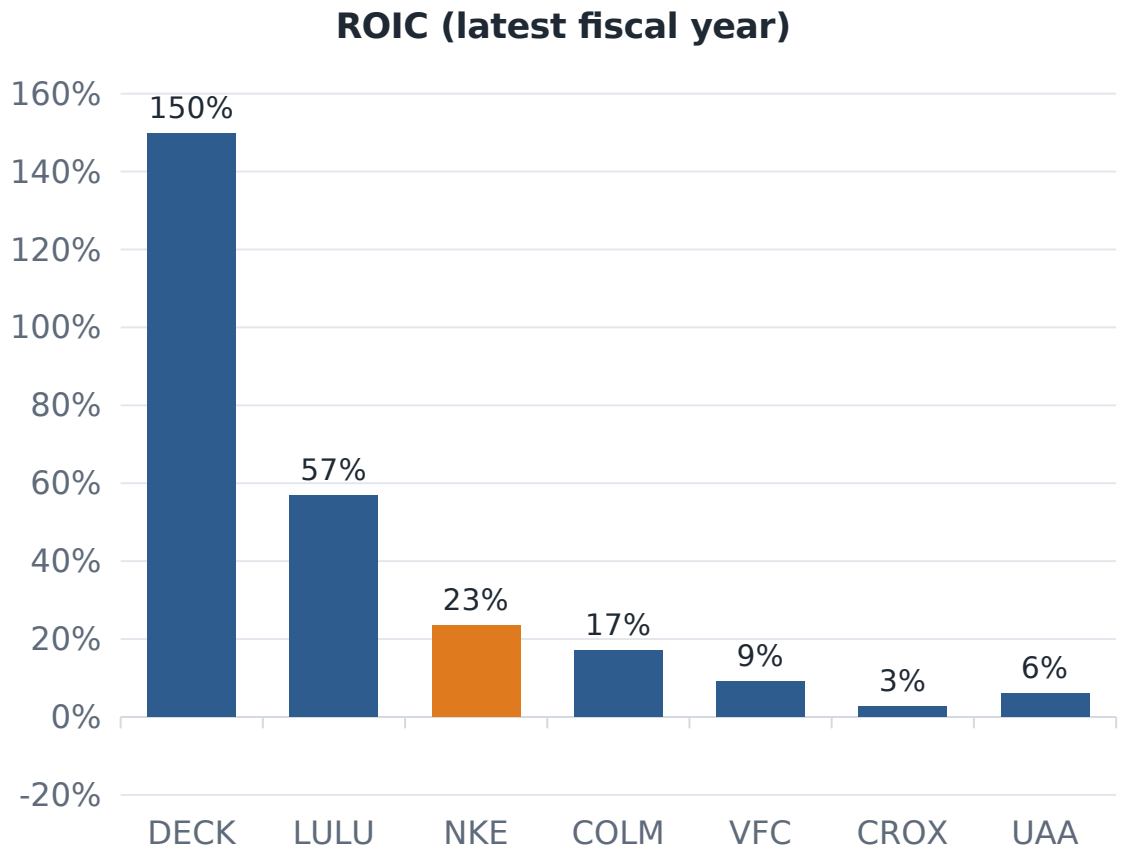
What the peer group tells us

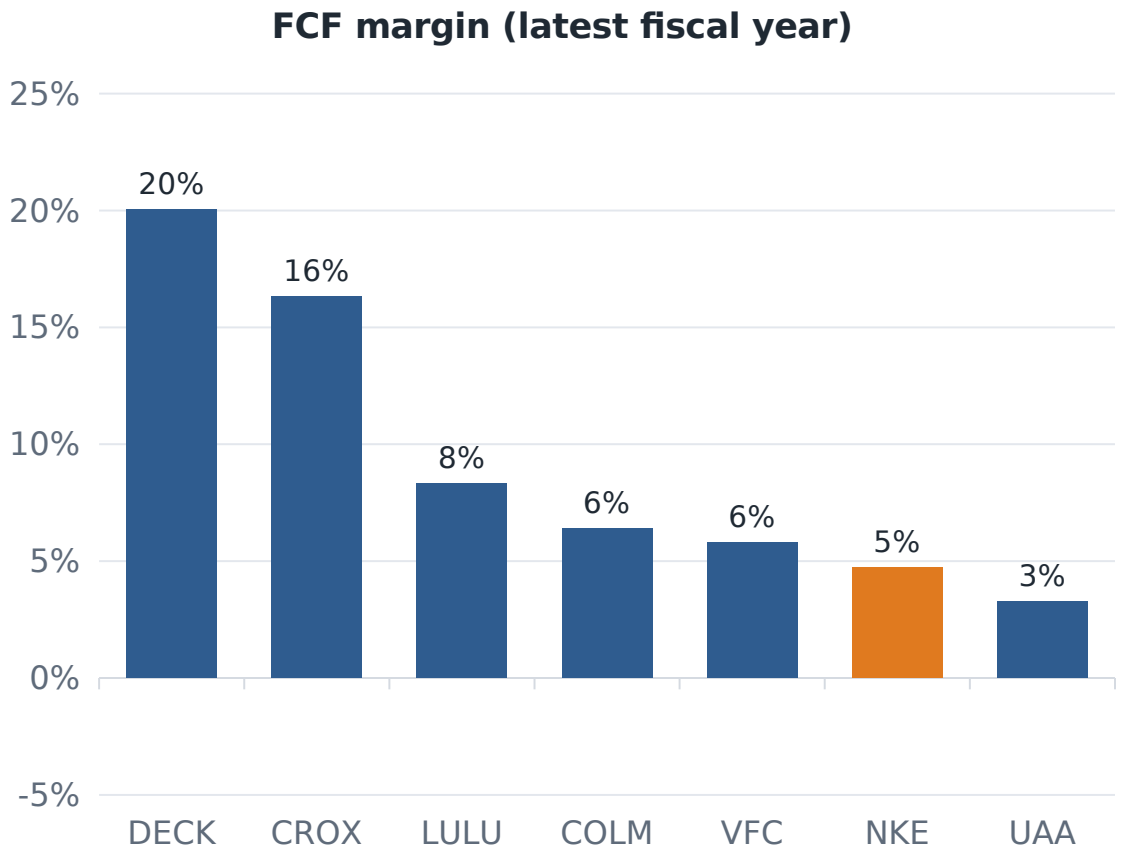
- Peer-group revenue growth has averaged +0.3% a year over the last three years (latest +1.1%); NKE averaged -3.1%.
- Industry EBIT margins are contracting (-7.5pp over three years, now 6.0% at the median).
- Gross margin trend: peers +3.5pp, NKE -0.6pp over three years.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RETURNS & CASH GENERATION

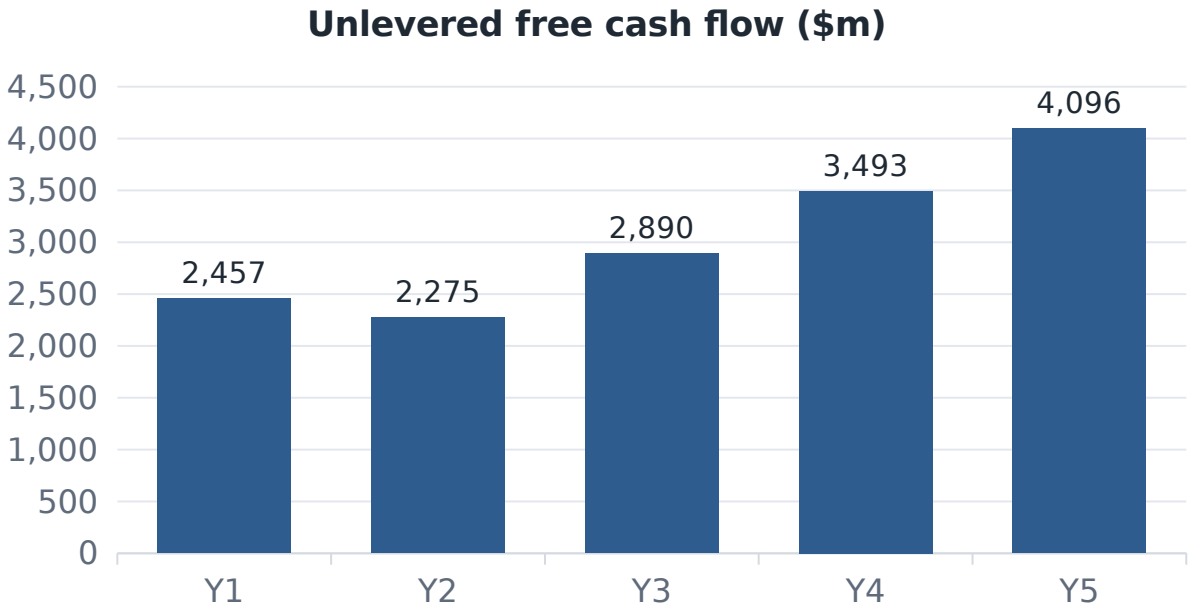
Returns and cash: NKE ranks #3 of 7 on ROIC and converts 70% of earnings into free cash flow





NKE highlighted. ROIC = EBIT × (1 − tax) / average (debt + equity − cash). Source: SEC EDGAR; Ticker-to-Thesis analysis.

DCF: $36.72 per share at a 9.0% WACC and 2.5% terminal growth



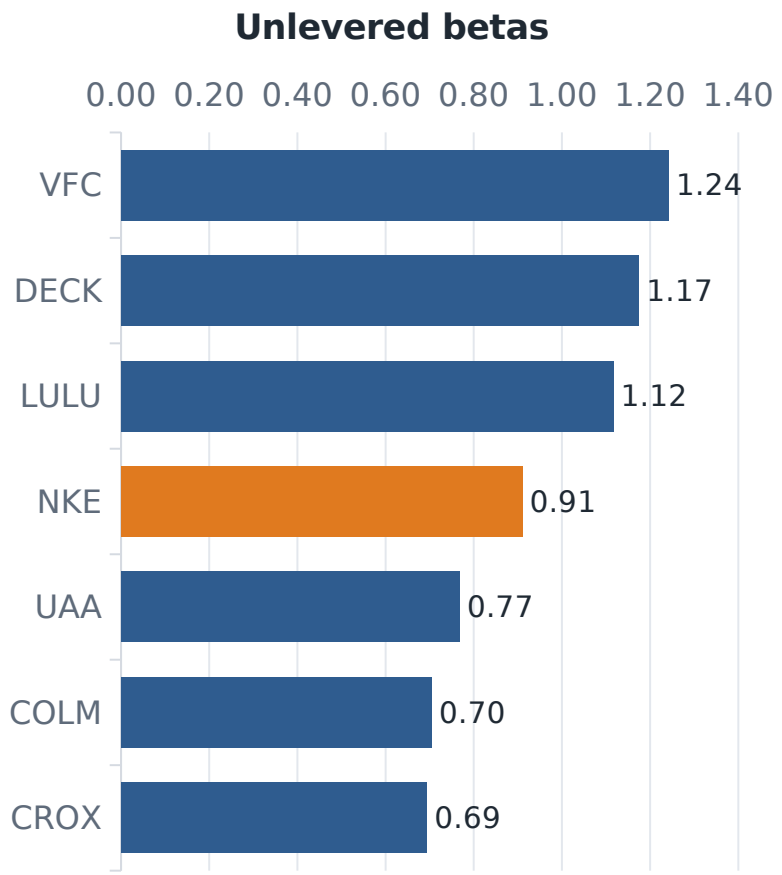
Forecast driver	Y1	Y2	Y3	Y4	Y5
Revenue growth	-8.0%	2.0%	4.0%	5.0%	4.0%
EBIT margin	5.0%	7.0%	9.0%	10.5%	11.5%
Revenue ($m)	42,686	43,540	45,281	47,546	49,447

EV bridge ($m)	Value
PV of forecast UFCF	12,046
PV of terminal value	41,984
Enterprise value	**54,030**
Less: net debt	-475
Equity value	54,505
Diluted shares (m)	1,484.2
Value per share	**$36.72**
Terminal value % of EV	77.7%
Implied exit EV/EBITDA	10.0x
Exit-multiple method	$40.53 at 11.3x

UFCF = EBIT × (1 − tax) + D&A − capex − Δ working capital; mid-year discounting. Full model in the Excel workbook.

Cost of capital: 9.0% WACC from a bottom-up beta of 1.04 and an implied AAA credit rating

Component	Value	Basis
Risk-free rate	5.0%	FRED DGS10 (10-year Treasury), 2026-10-29
Equity risk premium	4.5%	Assumption (config)
Unlevered beta (peer median)	0.94	6 peers, 2y weekly vs S&P 500, Blume-adjusted
Relevered beta	1.04	At NKE's market D/E; own beta 1.00
Cost of equity	9.6%	CAPM: rf + β × ERP
Cost of debt (pre-tax)	5.6%	rf + 0.60% spread (AAA; coverage 11.8x)
Weights (equity / debt)	88% / 12%	Market cap and book debt
WACC	**9.0%**	



Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

Sensitivity: every ±0.5pp on WACC moves the DCF value by about $3 per share

WACC \ terminal growth	2.00%	2.25%	2.50%	2.75%	3.00%
8.00%	$40.57	$42.04	$43.64	$45.40	$47.33
8.50%	$37.34	$38.56	$39.89	$41.34	$42.91
9.00%	$34.57	$35.61	$36.72	$37.93	$39.23
9.50%	$32.18	$33.07	$34.01	$35.03	$36.12
10.00%	$30.09	$30.86	$31.67	$32.53	$33.46

Green: ≥15% above the current price ($39.37). Red: ≥10% below. Orange: base case.

Exit-multiple method

WACC \ exit multiple	9.3x	10.3x	11.3x	12.3x	13.3x
8.00%	$36.30	$39.27	$42.24	$45.22	$48.19
8.50%	$35.57	$38.47	$41.38	$44.28	$47.19
9.00%	$34.85	$37.69	$40.53	$43.37	$46.21
9.50%	$34.16	$36.93	$39.71	$42.48	$45.26
10.00%	$33.48	$36.19	$38.91	$41.62	$44.33

VALUATION · TRADING COMPARABLES

Trading comps: NKE trades at 12.8x EV/EBITDA, a 13% premium to the peer median of 11.3x

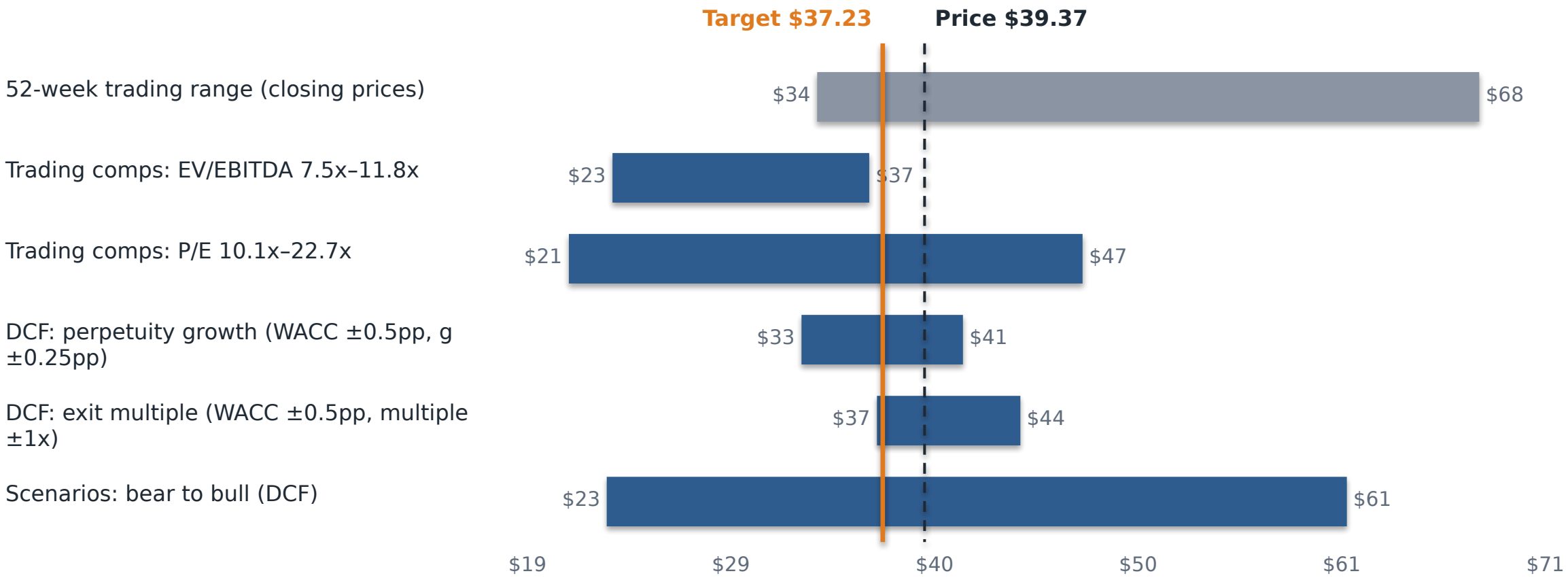
Company	Mkt cap	EV	EV / Sales	EV / EBITDA	P / E	EBIT margin	FCF yield
LULU · Lululemon athletica	$11.5bn	$10.2bn	0.9x	3.8x	7.3x	19.9%	8.0%
DECK · Deckers Outdoor	$11.3bn	$10.1bn	1.8x	7.5x	11.0x	23.1%	9.7%
VFC · VF	$7.5bn	$10.1bn	1.1x	11.8x	29.6x	6.0%	7.4%
CROX · Crocs	$7.1bn	$8.2bn	2.0x	36.0x	n/a	3.7%	9.3%
COLM · Columbia Sportswear	$3.6bn	$3.0bn	0.9x	11.3x	20.4x	6.1%	6.0%
UAA · Under Armour	$2.3bn	$2.5bn	0.5x	n/a	n/a	-3.3%	-7.1%
NKE · Nike	**$58.4bn**	**$58.0bn**	**1.2x**	**12.8x**	**18.8x**	**8.2%**	**3.7%**
Peer median			1.0x	11.3x	15.7x	6.0%	7.7%

Implied value per share for NKE: EV/EBITDA: $34.93 (range $23.39–$36.54) · P/E: $32.86 (range $21.15–$47.46)

Multiples on latest reported fiscal year; EV uses the latest balance sheet. Negative or extreme multiples excluded.

VALUATION · FOOTBALL FIELD

Valuation range: methods point to $21–$68; price target $37.23



Price target = 50% × DCF perpetuity ($36.72) + 25% × DCF exit multiple ($40.53) + 25% × comps EV/EBITDA ($34.93)

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

SCENARIO ANALYSIS

Scenarios: $23 bear, $37 base, $61 bull (DCF value per share)

BEAR CASE

$23.09

-41% vs current price

Revenue growth	**-11.0% → +1.0%**
EBIT margin (Y5)	**9.5%**
WACC	**10.0%**
Terminal growth	**2.0%**

BASE CASE

$36.72

-7% vs current price

Revenue growth	**-8.0% → +4.0%**
EBIT margin (Y5)	**11.5%**
WACC	**9.0%**
Terminal growth	**2.5%**

BULL CASE

$61.00

+55% vs current price

Revenue growth	**-5.0% → +7.0%**
EBIT margin (Y5)	**13.5%**
WACC	**8.0%**
Terminal growth	**3.0%**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RISKS

Key risks and what would change our view

Flagged by the data

- Margin compression: EBIT margin down 3.4pp over three years; the forecast assumes a recovery, which is the key swing factor.
- Valuation leans on the terminal value (78% of DCF enterprise value), so it is sensitive to WACC and long-run growth (see sensitivity tables).

Analyst view

- China keeps falling: margins stall near 7% and value drops to ~$22 (our 'stuck' case).
- Share loss to challenger running brands (On, Hoka) limits pricing power.
- Execution slips: with recovery already priced in, there is little cushion for delays.

Catalysts

- Q2 FY27 results (expected late December): first read on China and holiday sell-through.
- Signs that Greater China declines are bottoming.
- Delivery of Pace savings as restructuring charges roll off.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

APPENDIX

Methodology, data and limitations

- **Data.** 10-K/10-Q XBRL facts from SEC EDGAR for NKE and 6 peers, standardised across tag changes and restatements; every value traceable to its filing (Excel: Sources sheet). Prices: Yahoo Finance / Stooq; risk-free: FRED DGS10.
- **Benchmarking.** Latest fiscal year for each company; percentile ranks oriented so 100 = best; trends use the peer median and quartiles.
- **DCF.** 5-year forecast, unlevered FCF, mid-year discounting, Gordon growth and exit-multiple terminal values.
- **WACC.** CAPM with a bottom-up beta (peer regression betas, Blume-adjusted, unlevered and relevered); cost of debt from a synthetic rating.
- **Price target.** Weighted blend of DCF (perpetuity and exit multiple) and trading comps; rating thresholds +15% / −10%.
- **Limitations.** No consensus estimates or stub-period adjustment; multiples on the latest fiscal year, not LTM; operating leases excluded from debt; peer set chosen by the analyst.

Educational research project generated with Ticker-to-Thesis. Not investment advice.